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November 13, 2020

Federal Maritime Commission
Attention: Rachel E. Dickon, Secretary
800 North Capitol Street NW
Washington, DC 20573

RE: Advance Notice of Proposed Rulemaking (ANPRM)
Passenger Vessel Financial Responsibility
(Docket Number 20–15)

Ladies and Gentlemen:

The Passenger Vessel Association (PVA) – the national trade association representing owners and operators of U.S.-flagged passenger vessels of all types – appreciates the opportunity to comment on the Federal Maritime Commission (FMC) Advance Notice of Proposed Rulemaking (ANPRM) Passenger Vessel Financial Responsibility Docket (Number 20–15). The full proposed rule, as published in the *Federal Register* of October 14, 2020 (pages 65020-65025) can be accessed here:

<https://www.govinfo.gov/content/pkg/FR-2020-10-14/pdf/2020-21957.pdf>.

PVA represents five companies to which this ANPRM applies. These companies operate 29 U.S.-flagged passenger-carrying vessels with overnight accommodations for 50 or more passengers. The largest vessel can accommodate 436 passengers. These businesses are U.S.-owned companies, based in the United States, paying federal and state income taxes. Their vessels are constructed in American shipyards and are crewed by U.S.-citizen mariners. These smaller overnight vessels differ from the large oceangoing foreign-flagged cruise vessels that may accommodate several thousand people. The PVA member companies also provide jobs and economic development for a variety of communities to which they call, including in Southeast Alaska, along the Columbia, Snake, Mississippi, Ohio, and Cumberland Rivers, on the Atlantic Seaboard, in coastal California, and among the Hawaiian Islands.



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Because of the coronavirus pandemic, these PVA members lost the entirety of their 2020 operating seasons. They and their employees have suffered severe financial damage. Nearly all PVA vessel operators are small businesses as defined by the U.S. Small Business Administration.

PVA commends Commissioner Louis Sola for his comprehensive efforts during Fact-Finding 30: COVID-19 Impact on the Cruise Industry. PVA acknowledges his efforts to consult with PVA's "small ship" overnight cruise operators during his work.

The Unprecedented Coronavirus Pandemic Cruise Shutdown

No one – not the Congress, not the Federal Maritime Commission, not the U.S. passenger vessel industry, not the traveling public – ever contemplated that an event such as the coronavirus pandemic would essentially shut down the U.S. cruise industry for at least the better part of a year. More than fifty years ago, Congress enacted a law dealing with "nonperformance of transportation" by an overnight cruise operator, but it is fair to say that it was designed to address the collapse of a single company or perhaps the cancellation of a particular cruise voyage. It was not envisioned to deal with an extended shutdown of the entire cruise industry. Similarly, all cruise companies have developed their own individual policies regarding a cancelled cruise voyage, but these were devised to address specific instance of "nonperformance of transportation."

PVA makes these observations to suggest that neither the federal government nor the cruise ship industry should be faulted for not having a fully-formulated policy to deal with mass voyage cancellations and the need to reimburse tens of thousands of affected customers in a very short period of time.

PVA also observes that for five decades, the existing statutory and regulatory structure worked well to reimburse passengers in the rare events of "nonperformance of transportation." Perhaps the unprecedented events of 2020 should not be used to devise a new regulatory requirement for "routine" (as opposed to mass) events of "nonperformance of transportation."



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Legal authority for the Commission to issue a rule on “nonperformance of transportation” and refund policy

The Commission’s authority to issue regulations must derive from statutory authority granted by Congress and signed into law by the President. The Commission cannot regulate simply because it may conclude that a particular policy is desirable or justified.

The Commission has regulatory authority pertaining to certain commercial vessels that embark passengers in U.S. ports for overnight cruises. See section 44101 of title 46 *United States Code*. However, there are some commercial vessels that embark no more than 50 passengers in U.S. ports for overnight cruises. These vessels are beyond the regulatory authority of the Commission. If the Commission were to conclude that its rules related to evidence of financial responsibility of larger overnight cruise passenger vessels should also apply to these small overnight cruise passenger vessels, it would not be able on its own authority to extend the scope of its rules. It would have to recommend to Congress that a change in law is needed and await possible Congressional action before it could regulate.

The Fact Finding Officer for Fact Finding Investigation No. 30 acknowledges this fundamental question of “Statutory Authority.” In two paragraphs briefly touching on the issue, he notes, “the question has arisen as to whether the Commission has the authority to issue an enforcement notice concerning sailings cancelled due to the CDC No Sail Order” He further observes, “the Commission does not possess the same type of direct authority over PVO [passenger vessel operator] policies that DOT has with respect to air carrier policies” He also acknowledges, “Unlike DOT’s statutory authority, the Commission has limited authority over PVO commercial practices” However, he suggests that the Commission could use its “wide discretion in establishing the information or type of bond or other security necessary to meet the financial responsibility requirements ... to facilitate passengers’ ability to obtain refunds from a PVO’s financial instrument when a PVO cancels a voyage, makes a significant schedule change, or significantly delays a voyage.”



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With all due respect to the Fact Finding Officer's suggestion, the Passenger Vessel Association asserts that it is doubtful that the Commission has the legal authority to issue a rule mandating when and how passenger refunds are payable in the event of "nonperformance of transportation."

The Commission's statutory provision is found in section 44102 of title 46 *United States Code*. It reads:

§44102. Financial responsibility to indemnify passengers for nonperformance of transportation

(a) Filing Requirement.-A person in the United States may not arrange, offer, advertise, or provide transportation on a vessel to which this chapter applies unless the person has filed with the Federal Maritime Commission evidence of financial responsibility to indemnify passengers for nonperformance of the transportation.

(b) Satisfactory Evidence.-To satisfy subsection (a), a person must file-
(1) information the Commission considers necessary; or
(2) a copy of a bond or other security, in such form as the Commission by regulation may require.

(c) Authorized Issuer of Bond.-If a bond is filed, it must be issued by a bonding company authorized to do business in the United States.

A careful review of this provision shows that it contains no grant of authority to the Commission. Instead, it imposes two related duties upon a covered PVO: (1) to file with the Commission evidence of financial responsibility to indemnify passengers for "nonperformance of transportation" and (2) to make the filing with such information as the Commission deems necessary and in such form as the Commission requires.

The purpose of the statute is to ensure that in the event of "nonperformance of transportation" by a covered PVO, there exists adequate financial resources, as determined by the Commission, from which indemnification can be made. But section 44102 does not specify what constitutes nonperformance, nor does it prescribe how or when indemnification is to be made. These questions are simply not addressed by this particular statute. Nor is there a statutory grant of authority (either express or implied) to the Commission to address these matters by



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regulation. Other laws (not section 44102) control, and other entities (perhaps courts, but not the Commission) are to decide.

By analogy, the Commission also has statutory authority to issue a rule to ensure that a PVO has financial means to reimburse a passenger in the event liability for death or injury. See section 44103 of title 46 *United States Code*. However, section 44103 says absolutely nothing as to when such liability might exist. Nor does it authorize the Commission to make that determination. The question of whether liability exists or not is governed by other statutes (either federal or state) and is determined by entities other than the Commission (for example, courts with jurisdiction). The Commission has no statutory basis to issue a regulation specifying when liability for death or injury exists, or how much that liability might amount to. Nor does the Commission have legal authority to set by regulation when a claim for liability for death or injury is to be submitted, or when a judgment of liability is to be paid. So it is with questions related to PVO liability for nonperformance of transportation.

The Passenger Vessel Association respectfully suggests that the Commission lacks statutory authority to issue a proposed rule of the type described in the ANPRM.

If the Commission elects to go forward with the development of a proposed rule, PVA urges its attention to the following subjects.

Definition of “Nonperformance of Transportation”

Certainly, if a scheduled cruise does not take place at all, that should constitute “nonperformance of transportation.” However, should that term be applied to a delayed cruise, and if so, when? The Commission suggests that a delay of more than 24 hours should constitute “nonperformance of transportation.” This recommendation is apparently based on a U.S. Department of Transportation policy regarding delays in scheduled commercial airline transportation.

There are significant dissimilarities between commercial airline transportation and scheduled commercial vessel cruises. In nearly all cases, a scheduled airline trip is accomplished in only a few hours; thus, a delay of



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24 hours may be four, five, or more times the actual duration of the flight. In contrast, nearly all vessel cruises have a duration of several days and frequently of more than a week. A delay of 24 hours represents a fraction of the anticipated duration of the cruise. Applying the airline standard to a scheduled cruise is not appropriate. Cruise embarkation delays can be attributed to various factors, many totally beyond the control of a PVO. For instance, bad weather can prevent a cruise ship from departing on schedule. The Commission should not inadvertently provide an incentive for a PVO to begin a cruise when weather is bad in an effort to avoid being deemed as “nonperformance of transportation.” PVA suggests that the Commission eliminate any reference to delayed sailings in its definition of “nonperformance of transportation;” failing that, the time threshold should be a delay of at least 48 hours.

The Commission acknowledges that “a delay would only constitute nonperformance if the passenger chooses not to embark on the delayed voyage” (page 65022 of the *Federal Register* notice). It is important to emphasize this statement. There should be no possibility that a passenger who embarks on a delayed cruise can subsequently claim a refund on the basis of “nonperformance of transportation.” The proposed definition of the term satisfactorily addresses this potential problem.

Process for Obtaining Refunds, General

While a business relationship exists between a PVO and its financial responsibility instrument provider, there is no comparable relationship between the provider and the cruise ship passenger. The Commission should not attempt to create or force such a relationship. Instead, if the Commission chooses to go forward with a proposed regulation establishing a process for a passenger claiming a refund for alleged “nonperformance of transportation,” it should specify that the passenger must submit the refund claim directly to the PVO. It will be up to the PVO to transmit the claim to the financial responsibility instrument provider, assuming that the PVO agrees that “nonperformance of transportation” has occurred and that satisfaction of a claim is warranted.



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Deadlines for Refund Payment

The suggested bifurcated time frame period for refund payments has the potential for confusion and unfairness. The Commission suggests that different refund requirements will apply if the scheduled transportation is cancelled as a result of governmental order or declaration, compared to a cancellation that results from any other cause. The period for payment of the full refund is 180 days after the customer's claim in the former event, 60 days after the claim is submitted in the case of the latter. What happens when the governmental order applies to some PVOs, but not to all? This is not a hypothetical question. The Fact Finding Officer acknowledges this; a footnote in his July 27 Interim Report states, "So, there could be small PVOs the Commission regulates that are not subject to the CDC No Sail Order (with vessels carrying more than 50 passengers but less than 250 passengers and crew)." In the interest of passenger and crew health and safety, American companies that operate smaller-capacity cruise vessels voluntarily chose to cancel their 2020 scheduled cruises. Under the proposal suggested by the Commission, these smaller companies will be treated differently than their competitors and would have to provide requested refunds in a shorter time period. This would be an unfair policy distinction. PVA recommends that any proposed regulation scrap the bifurcated standard and simply impose a period for payment of the refund of no more than 180 days after the customer's claim is submitted, no matter the reason for the nonperformance of transportation.

If the Commission chooses to retain a specific refund process in the event of "nonperformance of transportation" because of governmental order or declaration, it should be very precise as to what triggers this process. The Commission asked about the types of governmental order or declarations that could trigger the process. It seems clear that the Centers for Disease Control and Prevention (CDC) can issue such an order to protect public. In all likelihood, the U.S. Coast Guard has authority to prohibit a vessel from sailing under certain circumstances. Perhaps similar authority resides with Customs and Border Protection. Are there other federal agencies that can issue such an order or declaration? As a general rule, American states, counties, and municipalities have no or very limited authority over vessel safety and navigation. The Commission should research the concept of federal preemption in maritime law. PVA recommends that only orders and



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declarations from federal agencies with clear maritime authority be specified as the triggering events for this refund process. The Commission should leave no doubt as to what does and what does not constitute a governmental order or declaration.

Passenger Cancellations

The Passenger Vessel Association urges the Commission to refrain from attempting to impose its policy preferences on a situation in which a passenger voluntarily cancels a booking following the “declaration of a public health emergency” but when the voyage nevertheless occurs as scheduled. A proposed rule of this type would go beyond the problem of “nonperformance of transportation.” There is absolutely no way that section 44102 of title 46 *United States Code* can be construed to provide such regulatory authority to the Commission. Indeed, the heading for this statutory provision makes clear that it addresses “Financial responsibility to indemnify passengers for nonperformance of transportation.” When the customer voluntarily cancels a booking but the cruise subsequently proceeds as scheduled, there is no “nonperformance of transportation,” as envisioned by section 44102. Beyond the absence of statutory authority, the suggestion of providing a future cruise credit raises thorny questions. By whom is the public health emergency to be declared? A federal official? A state or local official? This hypothetical fact situation is best handled in the context of the commercial relationship between the cruise operator and the customer. A vessel operator may wish to provide a refund or future cruise credit as a matter of company policy or as a matter of good will, but it should not be required to do so by the Commission. Also, the Commission should make clear that the term “public health emergency” includes only events such as the coronavirus pandemic in which the gathering of persons on a vessel has the potential to worsen the emergency. An event such as a forest fire that creates harmful air pollution should not be included within the term.

Conclusion

The Passenger Vessel Association commends the Commission and its Fact-Finding Officer for presenting its ideas and questions in the form of an Advanced Notice of Proposed Rulemaking, rather than proceeding directly to the issuance of a Proposed Rule. This process allows for extensive public



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comment and thoughtful deliberation by the Commission. As noted above, the Passenger Vessel Association poses a serious question as to whether existing law provides any legal authority to the Commission to regulate in this area. Even if section 44102 can be construed to enable the Commission to define when “nonperformance of transportation” has taken place, it cannot be the basis of a regulation establishing the standards for when and how refunds are to be provided. PVA respectfully suggests that the Commission lacks statutory authority to issue a proposed rule of the type described in the ANPRM. Should the Commission proceed with a proposed rule, PVA urges the Commission to consider specific points as to the definition of “Nonperformance of Transportation,” process for obtaining refunds, deadlines for refund payment, and passenger cancellations.

Thank you for your consideration of these comments.

Sincerely,

Colleen Stephens
PVA President, 2020-2021